KASNEB PASTPAPERS · CPA STUDY MATERIALS

Quantitative Analysis — PREVIEW

Course: CIFA — Certified Investment and Financial Analysts | **Level:** Foundation Level

This is a free preview. It shows the exam-paper layout used throughout the full document, plus the introduction section.

Contents (full paper)

1. The time value of money

Money available today is worth more than the same nominal sum in future, because today's money can be invested to earn a return, and because inflation typically erodes future purchasing power. This principle underlies nearly all investment analysis.

Sample of the practice examination (Question One of Five)

> **Note on format.** The full paper includes a complete practice examination laid out the way a real KASNEB CIFA paper is laid out — timed, five compulsory 20-mark questions — so you can rehearse

> the exact exam format before sitting the real thing. This is an original practice paper, **not a reproduction of any actual KASNEB past paper.**

CIFA FOUNDATION LEVEL — QUANTITATIVE ANALYSIS (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

(a) Explain the time value of money concept and TWO reasons underlying it. *(8 marks)*

(b) Compute the future value of KSh 250,000 invested at 10% per year for 4 years. *(6 marks)*

(c) Compute the present value of an ordinary annuity paying KSh 60,000 per year for 3 years, at a discount rate of 11% per year. *(6 marks)*

(Total: 20 marks)

Questions Two, Three, Four and Five — plus the full marking guide with model answers to all five questions — are in the full version.

Unlock the full paper

The complete version includes annuities, central tendency and dispersion, probability distributions, correlation, simple linear regression, a fully worked present-value/standard-deviation question, the complete five-question KASNEB-style practice examination with a full marking guide, and an exam technique and revision checklist.

Purchase the full paper to continue.